



For the
Attention of
the Board



Information directors need to know
Questions directors need to ask

With expert perspective from



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Family business fallouts – It's business. But it's personal.

Introduction

Disagreements are inevitable in all businesses, big or small. The difficulty with disagreements in family businesses is that the personal and emotional side of differences often prevent the route to any resolution. When there are fallouts between family members or inherited/generational conflict, commercial decisions are pushed to the back of minds.

In family businesses, it is often three key events that can trigger conflict, namely: (i) the day-to-day management of the business, (ii) the returns being generated for family members and (iii) succession. Problems regularly arise when expectations are not met and/or there has been little to no transparency in business decisions. This can lead to difficulty in running the business, maintaining the reputation of the business and, in some cases, lead to a breakdown of the business and ultimately the family.

We look at the possible outcomes of ongoing conflict in family businesses, the key questions to ask before conflict arises and how formalising certain aspects of the family business in advance of any conflict can enable efficiently run businesses or lead to swifter resolutions of issues.

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When things go wrong: the cost of falling out with your family members



Unresolved conflicts in family businesses can lead to a number of negative outcomes, including:

Disruption to usual business

Disagreements within families will regularly lead to disruption of the business. In many cases we have seen disagreements over the day-to-day running of the business or the returns being generated for family members, which may result in a family member refusing to participate and lead to properly convened board meetings or management meetings not being held on time (or at all). If such meetings are not being held, decisions are not being taken, and the business is not moving forward. Family members may also find themselves in breach of their contractual obligations or director duties.

Reputational damage

Delays lead to reputational damage both with clients and other third parties, including investors. If the usual business is not being carried out effectively, clients may consider other options and investors are likely to ask questions.

Financial disruption

The business may also face financial disruption if business operations are paused while decisions are made internally. As we mention further below, if conflict leads to litigation this can be an expensive drain on business assets.

Failure to meet reporting requirements

If properly convened board and management meetings are not taking place, formalities such as signing off the company accounts may not happen in

time. The business could then face issues from third parties and authorities such as Companies House who can issue notices of intention to strike off the business if certain filings are not carried out in time. These notices are publicly available and inevitably lead to further reputational damage.

Erosion of trust and communications

Unresolved conflict leads to a breakdown in trust and communication which is likely only to worsen over time. This has an effect on individuals working together in the family business and an impact on morale and productivity.

Litigation

At the most serious end of the scale, there is the potential for relations to break down completely where an agreement cannot be reached – often leading to one or more family members issuing formal proceedings. Litigation can be expensive, time consuming but arguably also, highly emotional and particularly complex when it involves families. Settlement is hard to achieve in family dynamics as emotions, rather than commercial reality, often drive decisions. It may also be hard to repair relationships following difficult litigation, which will not only damage the family personally but also impact the business from moving forward.

Overall, unresolved conflict in family businesses can lead to an increased risk of failure of the business as it becomes more and more difficult for the family

to move forward and the impact of financial and reputational issues will be permanently damaging. Whilst it is not always possible to avoid conflict altogether, it is often possible to navigate most conflicts to reach an effective resolution.



10 questions for the Board



Points to consider *before* conflict arises.

1. Constitutional documents

Does the business have the necessary formalities in place? Are these up to date and does everyone have access to these? Think of the constitutional documents like a pre-nuptial agreement: it may be inevitable that disagreement will take place, for example a family member of the business may wish to exit the business or sell their shares. Do the company documents set out a clear and effective process for the exit of directors and/or shareholders? Who gets the first right of refusal on shares? How will the shares be valued? What happens if the shares significantly increase or decrease in value?

2. Disagreement

Is there an agreed process for handling disagreements in the boardroom? Is it possible for there to be a deadlock? Is there a third party who can act as a “mediator” if needed?

3. Roles and responsibility

Does each family member of the business understand their role and what is required of them? Have employment agreements and director contracts been formalised? Is it clear what happens if there is a breach of those agreements? Are the expectations clear? Tension can arise where family members have different levels of involvement in the business, for example where a family member is a shareholder and manager but not a director. It is also common to see family members using informal influence due to their position in the family even though they may not have formal power, for example they may not be a director. The best way to avoid this is to ensure there are clear communications around everyone’s role and responsibilities.

4. Consider the makeup of the board

Has thought been given as to whether each member of the board is best placed to perform their respective role?

In family businesses, members of the board are often assigned their role due to their position in the family and not their expertise or experience. Consider interests outside of the business – it is common for members of the family to have other businesses and interests on the side which may complement their role or affect their ability to dedicate sufficient time to the family business. The board should acknowledge strengths, visions and the unique skillset of each individual member of the family and use it to their advantage, controlling those whose abilities may not match their ambitions.

5. Succession

Who makes the decisions around succession and how is that communicated? At what time is the family business likely to be handed down and to whom? Are people aware of the plans for the business so that there are no unpleasant surprises at a difficult time of change? How will shares be split between remaining members? Manage succession expectations with family members and keep third parties involved in those plans (banks and investors, for example, will often want to know the plans in advance).

6. Challenge the traditional way of working

Ask the board, are we doing this just because “it has always been done that way”? If the answer is yes, consider if this is still the best decision for the business. Is the business keeping up to date with the “next gen” way of working? Are ESG requirements being considered and met? Are people treated differently because of their gender? These conversations can often be difficult, particularly with the more experienced members of the business, but a good opportunity to implement new ways of working is at the time of succession when considering how to run a successful business between different generations.

7. Call out bad behaviour to set a precedent

Do individuals feel comfortable to call out bad behaviour from other family members? It is common in family businesses for there to be a lack of checks and balances where often the directors and shareholders are the same individuals. Ask: If the behaviour took place in any other business, would you accept it? Are there policies in place if someone does want to raise an issue? Is there a third-party non-family member who can be contacted in the event of any conflict?

8. Seek outside help

Are there third-party advisers involved with the business to give an impartial view? Family businesses – like all businesses – will often need lawyers to draft the governing documents, advise on bespoke strategies, draft trust/succession documents, shareholder agreements and financing documents. As well as the more formal contracts, consider whether it would be helpful to instruct other external experts such as psychologists to help navigate relationships which cross the personal/professional divide or mediators to help with difficult conversations.

9. Communication, communication, communication

Do all members know what information they are entitled or required to know? How are updates communicated around the business? Disagreements can regularly be avoided simply by communicating the right information at the right time. Avoid unnecessary surprises and create trust.

10. Does the business have a clear vision/strategy?

Family members will be able to align over a clear strategy. For all decisions, consider whether they are being made in line with that strategy.



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As we have discussed above, addressing various questions before conflict arises is key. The answers to these questions will inform the best frameworks for family governance (ie how the family governs itself and interacts with the business) and corporate governance (ie the way in which the business is operated). Where the business takes the form of a limited company, its corporate governance framework will need to be carefully documented in the company's articles of association and likely also a shareholders' agreement. The arrangements will need to be tailored depending on, for example, the size of the family, the size and nature of the business and the level of involvement of the family in the business.

Family governance

The choice of family governance arrangements will depend on the size of the business, the number of family members and the degree of involvement of family members in the business. For larger family businesses, it may be appropriate for the family to have a constitution or charter. This will set out, for example, the family's values or mission statement, the role of any family institutions, the relationship with the governing body of the business (ie in the case of a limited company, its board of directors) and policies regarding important family issues in relation to the business. Family "institutions" may comprise a family assembly meeting (of all shareholders) only once or twice annually, while a "council" may be formed of those family members who make decisions on behalf of the family in relation to the business and be tasked with ensuring sound communication with the assembly.

Corporate governance and constitutional documents

The corporate governance framework of a family business is equally important as the family governance aspect. The ownership structure and board composition should be carefully considered. In the limited company context, for example, which family members will have a shareholding? Who will be on the board and should there be non-family members, either in executive or non-executive positions? It may also be appropriate for certain functions to be delegated by the board to committees.

In the context of a limited company, the articles of association will set out the rights attaching to shares – for example, whether shares are voting or non-voting, transferability and rights to participate in dividends. Among the issues to be considered will be the procedure to be followed where a family shareholder wishes to sell shares: whether other family members of the company will have pre-emption rights, how the share price will be calculated and what mechanism will apply in the event that a price cannot be agreed (for example, the appointment of an independent expert). Well drafted articles will also contain appropriate mechanisms for dealing with the conflicts of interest that can arise where family members have a number of different roles – which could include shareholder, director and trustee of a family trust. These would include, for example, the extent to which conflicted directors can participate in decision making, or will count for voting purposes or towards the quorum of a meeting. The articles could also set out a deadlock procedure to be followed in the event that a quorate meeting cannot be convened or resolutions cannot be passed – the appropriate triggers for, and consequences of, a deadlock are likely to be different depending on the nature and size of the family business.



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Governing documents: selection of the board

The governing documents of a family business outline eligibility for board positions. In many situations, family branches have the right to appoint representatives subject to shareholder and/or family matriarch or patriarch approval. This can foster nepotism and conflict, undermining corporate governance and the business's social mission. Non-executive director (NED) appointments may not prioritise talent or capability. This outdated approach can result in poor leadership choices.

When an unsuitable family NED is appointed without strong shareholder endorsement, responsible shareholders must act in the business's best interest, even if it impacts personal relationships. Revising governing documents for clarity and establishing a transparent, merit-based selection process for NEDs will improve corporate governance. Additionally, introducing a 'shadow NED' role can allow family members to stay informed and involved without disrupting board decisions.

- Shareholder agreements and related documents will outline rules for board membership eligibility, allowing family branches to nominate a representative to the board, subject to majority shareholder approval.
- Family NEDs are advised to work with external NEDs to ensure the family's voice in governance and to protect branch interests, although ideally, all shareholders should focus on the success of the business.
- External NEDs are typically chosen by the matriarch, patriarch or CEO, which can lead to frustration and potential conflicts among shareholders.
- This selection process can encourage nepotism and prioritise candidates seeking status over those with relevant skills, leading to ineffective governance and conflict, which contradicts the social goals many family businesses uphold.
- The issue stems from a relaxed approach to NED qualifications and the right to appoint family members without considering their merit, a dated practice that often doesn't serve the business or family well.
- If a family NED is underperforming, shareholders have a duty to address this for the business's benefit, even at the risk of strained family relations. It is crucial to communicate that NED roles require responsibility and accountability. Shareholders can (and in certain circumstances should) suggest resignation in favour of a more qualified, external professional if necessary.
- When the CEO or directors are not family members, families may still want to influence governance to maintain their values. A solution is to create a 'shadow NED' role, allowing family members to observe board meetings and report back without voting rights, thus avoiding interference in decision-making.

Suggested process to select (family) NEDs

1. Each candidate prepares a CV and statement to present herself or himself to the shareholders (why they want to do it, what they are going to do and how).
2. The group of shareholders from the respective family branch vote to nominate their candidate in an internal voting process with a qualified quorum, which sends a clear endorsement for the candidate's support.
3. The nominated candidate repeats their presentation in front of all shareholders, from all branches.
4. If the candidate is voted in by a qualified majority, which again sends a clear endorsement for the candidate's support, the (family) NED is nominated as NED.
5. Otherwise, the candidate is offered a shadow NED post since s/he was nominated by their respective branch, and a non-family member expert candidate must be identified, eg with the help of a head-hunter nominated by the branch, and voted in by all shareholders as discussed above.

This process reduces information asymmetries, which are potent drivers of conflicts that must be resolved in the generation they arise in - conflicts are inheritable and inherited conflicts are almost impossible to resolve. The likelihood of future conflict is minimised through a high degree of social system synchronicity that facilitates effective communication with transparent, democratic and meritocratic processes that lead to efficient corporate governance outcomes to the benefit of all stakeholders and the family's legacy.



Summary

What can family businesses do now to best protect themselves from conflict?



1. Ask the questions we have set out above to the board now, before conflict arises.
2. Ensure a high degree of social system synchronicity and ensure that an updated, tailored corporate governance framework is in place.
3. Ensure any governing documents are clear and establish a transparent, merit-based selection process for NEDs.
4. Have trusted third-party advisers lined up which the business can rely on for when things do go wrong, including lawyers, mediators and psychologists. Having these advisers a phone call or email away will help find a resolution to conflict at the earliest possibility.

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